

Contestant Number: _____

Time: _____

Rank: _____



COLLEGE PAYROLL ACCOUNTING (130) **STATE 2021**

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

True/False (10 @ 1 point each) _____ (10 points)

APPLICATION KNOWLEDGE:

Short Answer (36 @ 1 point each) _____ (36 points)

Job 1: Payroll Register (55 @ 2 points each) _____ (110 points)

Job 2: Journalizing Transactions (30 @ 2 points each) _____ (60 points)

TOTAL POINTS _____ ***(246 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.
- Assume the following tax rates:
 - OASDI 6.2%
 - Medicare 1.45%
 - Federal Unemployment Tax 0.6%
- Calculations based on 2020 payroll laws/procedures.

Multiple Choice:

Select the best answer and record the answer on the Scantron provided.

1. The federal minimum wage at December 2020 was _____.
 - A. \$6.55
 - B. \$7.50
 - C. \$7.35
 - D. \$7.25

2. If Luella's regular bi-weekly earnings are \$2,736 per 40-hour work week, her overtime hourly rate is _____.
 - A. \$30.46
 - B. \$51.30
 - C. \$60.93
 - D. \$91.39

3. The acronym FLSA stands for _____.
 - A. First Standard Labor Amendment
 - B. Federal Standards Labor Act
 - C. Fair Labor Standards Act
 - D. Federal Labor Standards Act

4. Edward is paid the Federal minimum wage; he is paid overtime (time and a half); his total earnings for one week if he works 44.5 hours would be _____.
 - A. \$311.75
 - B. \$322.63
 - C. \$293.63
 - D. \$338.96

5. Tips, regularly received, of more than _____ in any one month are considered part of the employee's wages.
 - A. \$20.00
 - B. \$25.00
 - C. \$30.00
 - D. There is no minimum

6. The certification of age for a minor worker can be substantiated by which of the following?
 - A. School Report Card
 - B. Birth Certificate
 - C. Statement from their parents
 - D. In-person statement from a friend

7. Employees over 18 years old have to be given which of the following benefits according to the FLSA?
- A. Holidays Off
 - B. Sick Leave
 - C. Rest Periods and Breaks
 - D. None of the above
8. An employee paid a yearly salary of \$74,556 would get semi-monthly pay of _____.
A. \$12,426.00
B. \$6,213.00
C. \$2,687.54
D. \$3,106.50
9. Earnings paid to an employee put into a Roth IRA are subject to _____.
A. Federal Income Tax
B. Social Security Tax
C. Medicare Tax
D. All of the above
10. Which employee will have the most Federal Income Tax withheld from their paycheck; assuming all paychecks are for the same amount for like pay periods?
A. Samantha Wilson, Single with 2 withholding allowances
B. Fred Burns, Married with 0 withholding allowances
C. Ben Durn, Single with 0 withholding allowances
D. Joe Lang, Married with 1 withholding allowance
11. The FICA and FIT taxes withheld on an employer that is a monthly depositor, must be deposited on _____.
A. the 15th day of the month following the month of the payday
B. the next business day
C. Friday of the following week
D. Wednesday of the following week
12. The amount of Federal Income Tax withheld from a self-employed person's paycheck is _____.
A. 10 - 35% depending on income level
B. Determined by the Wage Bracket Method
C. \$0, they pay quarterly estimated taxes
D. Determined by the Percentage Method
13. Form _____ is used to complete the quarterly reconciliation of tax liabilities of employers.
A. 940
B. 944
C. 945
D. 941

14. Which statement *best* describes the employer's FICA liability of SS & Medicare Taxes?
- A. It is always the same as the amount withheld from the employee's paychecks.
 - B. It is always 6.45% for Social Security and 1.2% for Medicare of all wages.
 - C. The amount can differ due to rounding differences.
 - D. It depends if the employee is self-employed.
15. What is the total amount withheld for Social Security Tax on four employees that each make \$377.77 in wages each during the pay period?
- A. \$87.67
 - B. \$21.92
 - C. \$93.68
 - D. \$52.89

True (A)/False (B) Questions:

Select the *best* answer and record the answer.

1. Employees need fill out an I9 form to verify citizenship status.
 - A. True
 - B. False
2. A married employee may elect to withhold taxes at a higher Single rate with zero exemptions.
 - A. True
 - B. False
3. One of the main purposes of the payroll register is used to create the journal entry for the pay period.
 - A. True
 - B. False
4. If an employer's payroll tax liability is less than \$10,000, the deposit of these taxes is due the next business day.
 - A. True
 - B. False
5. All employees always have at least \$1 of withholding taken out of their checks.
 - A. True
 - B. False

6. A 401K 3% match by the employer means the employer will put in (or match) up to 3% of your eligible wages provided the employee is participating in the 401K in the amount of at least 3% of their eligible wages.
 - A. True
 - B. False

7. Employers are *not* required to pay into Social Security on an employee's behalf.
 - A. True
 - B. False

8. Breaks and rest periods are *always* required by law for each employer to provide for all employees.
 - A. True
 - B. False

9. An exempt employee only gets overtime if it is written into their contract.
 - A. True
 - B. False

10. The federal unemployment system is set up to pay for administrative costs that oversee the state unemployment systems.
 - A. True
 - B. False

Short-Answer Questions:

1. The Shuman Company has 5 employees they pay weekly; 2 earn \$800 per week, 2 earn \$825 per week, and 1 earns \$1,500 per week. The first \$7,000 of earnings are taxable for SUTA (3.2%) and FUTA (.6%). Answer the following questions regarding Shuman Company unemployment for the 9th pay period of the current year.

Taxable Earnings for SUTA & FUTA \$ _____

FUTA Liability for ninth payroll \$ _____

SUTA Liability for ninth payroll \$ _____

2. Johan Gunderson is a salaried employee with an agreement with his employer that he will get paid \$3,740 bi-weekly for a 37-hour work week. He also gets paid overtime (time and a half) for any hours worked over 40 hour per week, but nothing for the hours worked between 37 and 40 hours. Johan works 42.5 hours and 46.5 hours respectively for the bi-weekly pay period; answer the following questions regarding this pay period.

Regular bi-weekly pay \$ _____

Hourly Rate \$ _____

Overtime Rate \$ _____

Overtime Earnings \$ _____

Total Earnings \$ _____

3. Billybob Goat worked 46 hours on a weekly payroll job; his rate of pay is \$16.79 per hour. If the company he works for uses the Overtime Premium Method, answer the following questions regarding Billybob's weekly pay.

Regular Earnings \$ _____

Overtime Earnings \$ _____

Total Earnings \$ _____

4. Jerry Janes earns an annual salary of \$67,223 for a 40-hour work week. Complete the following pay chart:

Monthly	Bi-weekly	Weekly	Hourly Rate	Overtime Rate

5. Clyde Kadiddlehopper earns a salary plus bonus commission on sales and is paid bi-weekly. His regular salary is \$880 per week. He earns an extra 5% on all net sales over \$3,500 per pay period. During this bi-weekly pay period, he had the following sales and merchandise returns.

Sales \$ 8,275

Sales Returns \$ 625

Answer the following questions regarding Clyde's gross pay.

Net Sales \$ _____

Regular Salary \$ _____

Sales Subject to Bonus \$ _____

Bonus Earnings \$ _____

Total Earnings \$ _____

6. Jefferson earns a weekly salary of \$630 for a 40-hour week and earns a 10% shift differential for working on Sundays. If three of his 40 hours worked were on Sunday, what was his gross pay?

Rate per hour \$ _____

Differential Rate per hour \$ _____

Regular Hourly Pay \$ _____

Differential Pay \$ _____

Total Gross Pay \$ _____

7. Becki Bunhead works under a piece-rate work agreement where she earns an extra half time her regular wage for overtime hours beyond the 40-hour work week. Bunhead is paid weekly, and she produced the following pieces during a particular week. Calculate Becki's regular and overtime pay. She is paid 15.5 cents per piece and is calculated and rounded on a daily basis.

			<u>Daily Amount Earned</u>
Monday	(8 hours)	450 pieces	_____
Tuesday	(8 hours)	530 pieces	_____
Wednesday	(7.5 hours)	420 pieces	_____
Thursday	(9 hours)	680 pieces	_____
Friday	(7.5 hours)	520 pieces	_____
Saturday	(4 hours)	340 pieces	_____

Regular Earnings \$ _____

Overtime Premium \$ _____

Overtime Earnings \$ _____

Total Earnings \$ _____

Job 2: Journal Entries (60 points)

From the data you calculated in Job #1, complete the employees' and employer's journal entry for the payment of the payroll. Here are the departments the employees go into:

Johnson = Office Salaries
Wagner = Management Salaries
All the rest = Sales Salaries

Assume all employees' wages are subject to the FUTA and SUTA (3.5%) rates stated in this test. Use January 4, 2020, as your date.

GENERAL JOURNAL

Page 44[illegible]